

THE RIGHTS OF PARTNERS

LO 28-4

Recognize several important rights of partners.

In the absence of a partnership agreement, the RUPA or UPA spell out the rights among the partners. Several important partnership rights guaranteed under these default rules are illustrated in [Figure 28.1](#).

Each of the rights is further discussed below.

FIGURE 28.1 Important Partnership Rights

Right to share profits and losses equally
Right to partnership property
Right to co-manage the business
Right to indemnity
Right to vote
Right to be informed



Right to Share Profits and Losses Equally

Each partner is entitled to receive an equal share of the partnership's profits regardless of the partner's degree of involvement in the success of the business. It doesn't matter, for example, if one partner is responsible for 90 percent of the work that generates profits. The profits under the default rule must be split equally among all partners. The same rule applies to losses.

Right to Partnership Property

Under the RUPA, partners do not have rights to specific partnership property.⁴ Instead, partners have an interest in the general partnership's profits. Partnership property is any property that is

- held in the name of the partnership;
- acquired in the name of a partner with their title listed as "partner";
- purchased with partnership funds; or
- used for partnership business.

Partners have equal rights to use any partnership property to conduct partnership business. Partners cannot, however, use partnership property for individual purposes. For example, a partner may not sell partnership property and use the proceeds for their personal benefit, nor can they guarantee a personal loan with partnership property.

Right to Co-manage the Business

Each partner has an equal right to co-manage the business. This important right has several components. First, it implies that partners have the right to be involved in conducting business operations, that is, to get their hands dirty and operate the business. Keep in mind, however, that under the default rules, partners who provide labor to the partnership are not entitled to a salary and their compensation is limited to an equal share of the profits. Second, this right implies the ability to sign contracts on behalf of the partnership. The right to enter into agreements that bind parties is an important right.

Absent a partnership agreement that stipulates authority in a different manner, the default rules authorize a partner to enter into agreements that are reasonably necessary to accomplish the tasks within "the ordinary course of business of the partnership."⁵ A contract that is outside the ordinary course of business, on the other hand, requires the unanimous consent of all the partners. Although it is difficult to specify what is ordinary versus what is extraordinary, courts have held that any act that substantially changes the nature of the partnership is extraordinary and requires unanimous consent of all the partners.

Right to Indemnity

If a partner within the ordinary course of business incurs a payment or liability made on behalf of the partnership, the partnership must reimburse that partner for the expense. A partnership agreement may define limits to this reimbursement, for example, by placing a dollar limit or specifying what authority a partner has to act within the ordinary course of business.

Right to Vote

Under its default rules, each partner has an equal voice when disagreements arise regarding the management of the business. A disagreement among partners is resolved through a vote. Each partner is entitled to one vote regardless of how much they contributed and the majority generally wins. Situations that require unanimous vote under the RUPA include the admission of a new partner, acts outside the ordinary course of business, and amending the partnership agreement. In cases where an equal number of partners leads to a standoff related to a substantial matter, the default rules provide that a dissolution of the partnership will occur.

Right to Be Informed

Under both the UPA and RUPA, each partner has the right to be informed of the partnership's business. This involves being able to request and review partnership records of all kinds, including contracts, minutes taken during meetings, and financial information.

✓ QUICK QUIZ Partnership Default Rights

For the following questions, assume that the members of the Sizzling Tomatoes (discussed earlier) do not create a partnership agreement and begin to earn profits by creating their own music and playing gigs.

- 1. Can Billy use the copyrights from the songs created by the band as collateral for his personal auto loan?
- 2. Can Billy sell the copyrights to the band's music to a record label?
- 3. Can Darcy sign a contract to hire a band manager?

Answers to this Quick Quiz are provided at the end of the chapter.

TAKEAWAY CONCEPTS The Rights of Partners

- In the absence of a partnership agreement, the RUPA or UPA spell out the rights among the partners.
 - Important default partnership rights include the right to
 - share profits and losses equally,
 - partnership property,
 - co-manage the business,
 - indemnity,
 - vote, and
 - be informed.
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